Concentration Analysis

Overwiew of Concentration Analysis

- It belongs to the category of situational analysis.
- Instead of predicting the future, it tries to understand what is happening now.
- Basically, it tries to identify the companies whose share ownership structure has become much more concentrated.

Why do we care about a change in share ownership structure?

Intuition of Concentration Analysis

- If the share ownership structure of a company has become much more concentrated, then there are fewer shares circulated in public.

- Therefore, it takes less money to drive up the price of the stock.

The Psychology of Market Drivers during a Price Movement Cycle

Four Phases of Stock Price Movement

- Phase 1: Cheap. Market drivers quietly acquire more and more shares, and the share ownership structure of the company becomes more and more concentrated.
- Phase 2: The price is driven up sharply (sometimes with the release of some good news).
- Phase 3: Market drivers leave the market quietly without disturbing the market. For some stocks, this phase could be very brief, and it may last for less than a day.
- Phase 4: Market drivers leave the market entirely by selling a huge amount of the shares. The share price tumbles.

Concentration Analysis

- Key variable: Transaction Value
- Transaction Value = Transaction Volume × Transaction Price
- In Hong Kong, you can only find the transaction value of a given stock on the current trading day.
- Historical transaction value is not publicly available and needs to be purchased from data providers.
- You might be able to find the historical daily transaction value of a given stock in the US stock market.

Example 1: Xiaomi

- We will use concentration analysis to explain why Xiaomi (1810.hk) has gone up a lot between mid-2023 and late-2023, and between mid-2024 and mid-2025.
- In the first period, the share price of Xiaomi has gone up from $10 to $15.
- In the second period, its share price has gone up from $16 to $60.
- The most important thing is to compare **like with like**.
- On the first tab of Xiaomi Excel file, we have downloaded all trading days on which the share price has a daily increase of more than 2% and less than 3%.
- We compare the transaction values of the trading days in May 2023 with those in May 2020.
- Similar logic applies to the second tab of the Excel file.

Example 2: Pop Mart (9992.hk)

- Pop Mart was listed in December 2020 with an initial IPO price $38.5 and its share price jumped to $81 on the first day of listing.
- Since then, its share price has gone down for three years in a row and reached a trough at around $17 in January 2024.
- Its share price started to pick up in March 2024 and reached a peak at $322 in August 2025.
- So it is important to understand what has happened January and February 2024.

The concept of “escape velocity” in concentration analysis

Can concentration analysis predict?


9992.HK - Daily Close Price and Trading Value
2023-09-11 to 2026-09-10 | Orange marks: Close within 2.0% of latest close (HKD 152.7)
Close price (HKD per share)
300.0
200.0
100.0
Other day
Similar-price day
Latest day
Trading value (HKD millions)
20 000M
10 000M
0M
3
2024
9
2024
3
2025
9
2025
3
2026
9
2026
Trading date
Source: Yahoo Finance (downloaded now) | Average Price = (High + Low) / 2 | Trading Value = Volume x Average Price | Visual comparison only; no automated concentration conclusion.

Limitations of Concentration Analysis

- A stock has become much more concentrated does not mean that it must go up soon.

- Sometimes, you will have to wait for more than a month (or a few months) for the stock price to go up significantly.

- It won't help you with the daily and weekly investments.

- It might help you with the monthly investment. But you will need other analyses to assist the timing.

How to quantify the degree of concentration?

The Concept of Concentration Threshold

Back Testing vs Forward Testing

- Back testing is to apply a trading strategy to historical market data and see how it would have performed.
    - Question answered: "Would this strategy have worked in the past?"
- Forward testing is to apply a strategy to live market data in real-time and see how it will perform.
    - Question answered: "Is this working right now (or will it work in the future)?"
- Normally speaking, we develop multiple strategies (e.g., 10) and use back testing to narrow them down to the top three.
- We then forward-test these three strategies to identify the best one.